

Arin-Jain-International-Relations-2

Is the US economy harmed by cheap imports from China?

Inexpensive imports from China have been posed as the villain in American politics, often blamed for hollowed-out factory towns, rising inequality, and the development of a strategic rival. That framing is not entirely wrong, but it is incomplete. Cheap Chinese imports raise US aggregate living standards but harm specific workers and create strategic vulnerabilities, so “harm” has to be defined distributionally and geopolitically, not just by GDP. This essay evaluates that claim across three dimensions: aggregate efficiency, distributional outcomes, and strategic resilience. It first shows how cheap imports boost aggregate efficiency, then explains their deep distributional damage, and finally argues that they also undermine US strategic resilience.

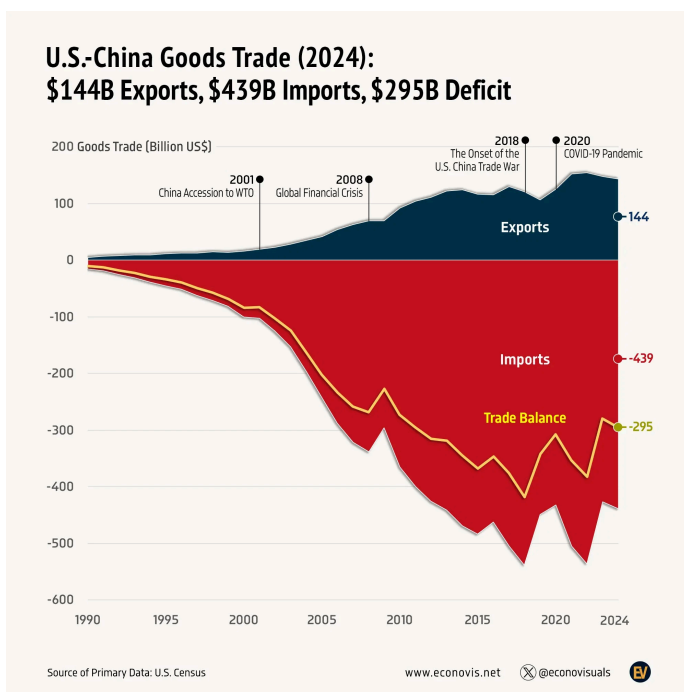


Fig 1. A chart showing the US-China trade in goods over the past 34 years, from 1990 to 2024. There has been a considerable increase in US imports (relative to US exports), with a consistently decreasing trade balance.

Source: Soltani

According to Investopedia, cheap imports are foreign-made goods and services sold in a domestic market at lower prices than local alternatives; simply, they are goods priced below what US firms can match. These prices are generally driven by lower labour costs, government subsidies, and strict currency management. China's scale of production reinforces all three: unit costs fall further as output rises. These could affect the US economy in various ways, impacting GDP, productivity, unemployment, inequality, dependence, and more.

Ricardo and Stolper–Samuelson both predict that both countries gain from trade overall, even though there are losers within each country. Those models also assume that price differences mainly reflect productivity, not state distortion, and that any domestic losers can (in principle) be compensated (Exploring Economics and Ricardo; SocialSci).

This essay argues that once we account for China's state subsidies and the concentration of imports in industrially-fragile regions and critical supply chains, those assumptions are often false. The aggregate advantages are still present, but the distributional and strategic harms can no longer be considered as minor costs.

At the aggregate level, cheap imports from China make the US economy more efficient and raise real incomes.

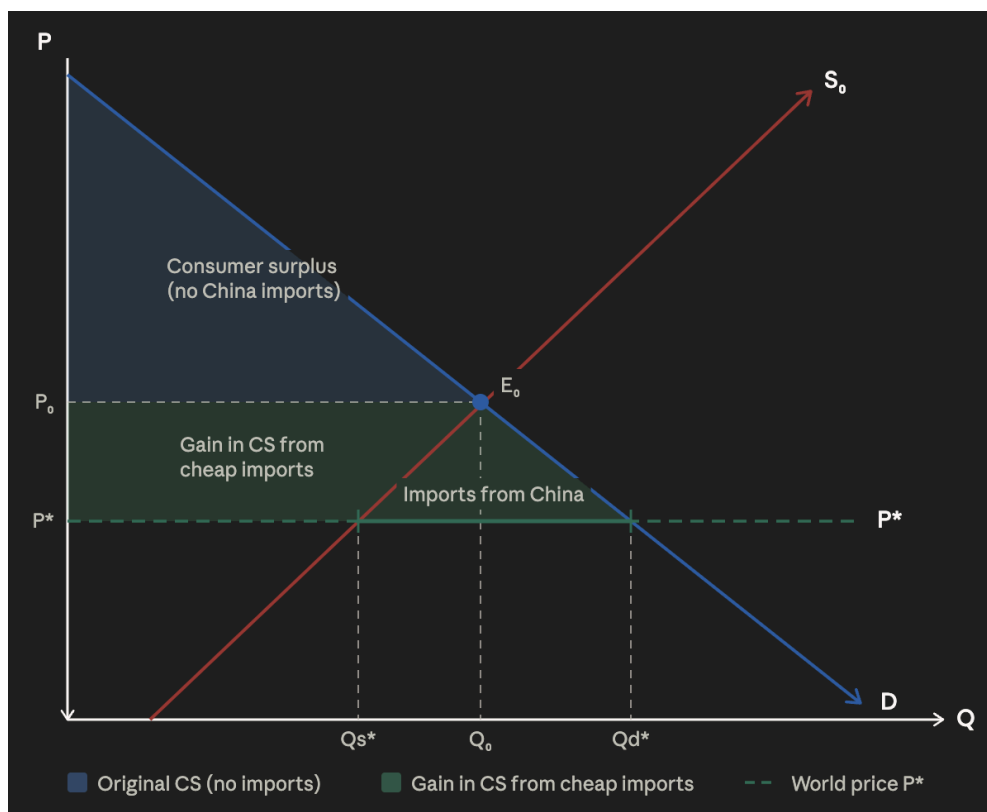


Fig 2. Cheap Chinese imports shift the effective supply curve to the world price P^* , lowering consumer prices and expanding consumer surplus (blue + teal) while reducing domestic production from Q_0 to Q_s^* .

Source: Author (Arin Jain)

Cheaper imports also help keep inflation low and stable, because domestic firms must prevent price increases to remain competitive and consumers can switch to imported alternatives when specific goods become more expensive. For example, the surge of low-cost Chinese electronics, clothing and household goods in the 2000s and 2010s allowed American households to maintain their standard of

living even as housing, energy, and healthcare costs rose, since TVs, smartphones or basic apparel absorbed a smaller share of their monthly budget (Lau and Tang).

The relationship between import costs and consumer purchasing power is illustrated by the real wage formula:

Real wage is defined as the nominal wage divided by the price level:

$$\text{Real wage} = \frac{W}{P}$$

In this setting, the price level P is a weighted average of domestic and imported goods prices:

$$P = (1 - \alpha)P_{\text{domestic}} + \alpha P_{\text{import}}$$

, where α is the share of imports in the consumer basket. If the cost of imports falls (that is, P_{import} decreases), the overall price level P also falls, which reduces inflation. For example, if imports are 18% of the consumer basket ($\alpha = 0.18$) and Chinese import prices fall 20%, the price level drops ~3.6%, meaning a worker on flat nominal wages sees real purchasing power rise by that margin.

Consequently, even if nominal wages (W) remain constant, the real wage increases, effectively boosting the purchasing power of US households and allowing them to better afford essential goods.

China's expertise in low-wage secondary sector manufacturing could allow the US to instead allocate capital, labour, enterprise, and land resources into tertiary sector services, technology, and other higher value added sectors, utilising comparative advantage to benefit instead of compete.

In practice, this is what has happened with firms like Apple, which outsource the assembly of iPhones to Chinese contract manufacturers while keeping product design, operating system development, marketing and ecosystem services in the US. Offshoring assembly to China while keeping design and software in the US let Apple capture far higher margins on each device, illustrating how US capital can gain from cheap foreign manufacturing even as assembly jobs move away from the US.

These benefits are often invisible, while factory closures are highly visible and attract far more attention. Measured by GDP and average real wages, then, cheap Chinese imports do not harm the US economy; they are a net gain.

These national gains, however, are not shared evenly: cheap imports impose large, long-lasting losses on specific workers and regions.

From the early 1800s to the mid-1900s, a coalition of secondary-sector-based cities in the northeast and parts of the south, known as the Rust Belt towns, formed the manufacturing hub of America. They placed much emphasis on the manufacturing sector, primarily producing heavy industrial goods such as steel, autos, coal, and processed raw materials. They peaked around 28–30% of U.S. GDP, and employed nearly a quarter of the US labour force. However, this has fallen to roughly

10–12% of the GDP and a sixth of the labour force today.

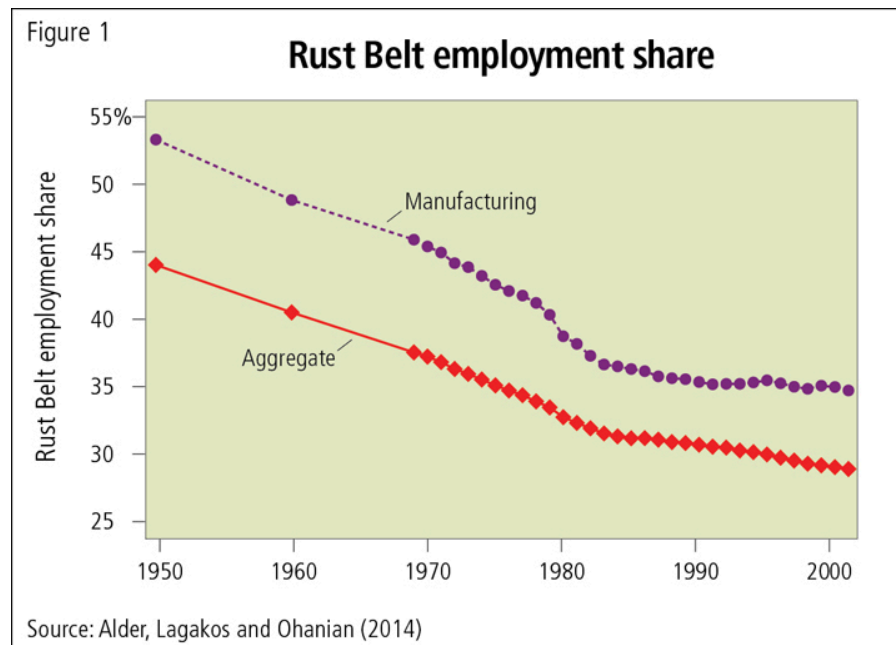


Fig 3. A graph showing the loss of employment as the Rust Belt faced increased foreign competition and poorer domestic conditions.

Source: Ohanian

The decline of the Rust Belt displays how cheap Chinese imports exacerbated existing vulnerabilities, when heavy national shocks (anti-pollution regulation, mass internal migration away, rapidly increasing energy shocks) had already taken their toll on the economy. By the 1990s, many Rust Belt communities were already weakened by automation and earlier waves of foreign competition, but the “China shock” accelerated this. Autor, Dorn, and Hanson estimate that rising import competition from China directly cost around one million US manufacturing jobs between 1991 and 2007, and up to 2.4 million total jobs (as seen in Fig 3).

The crude narrative that ‘China destroyed US manufacturing’ is incomplete—China explained only ~15% of total manufacturing job losses, and only ~6.3% of Americans suffered net welfare losses once cheaper prices are counted. China’s import shock concentrated losses in already-fragile regions, making adjustment slower and more painful than diffuse shocks would have. Highly exposed Rust Belt regions absorbed a disproportionate share of the import shock as secondary-sector centric areas, and the damage was both large and persistent. Cheap imports did not single-handedly finish the Rust Belt, but they did make an existing, slow decline harsher and more concentrated.

Empirical work on the “China shock” finds that a 1 percentage point rise in Chinese import penetration in an economic zone lowered local manufacturing employment by roughly 0.5–0.6 percentage points and decreased wages and labor-force participation for more than a decade, so the job and income losses in highly exposed regions were both large and very persistent (Autor et al.). That makes clear that cheap imports did not just trigger short term dislocation but created a slower and more structural degradation of labour market prospects in specific American towns.

Large moving costs and thin local job markets mean the expected payoff from relocating stays negative for most workers, so they remain, even as local wages fall. Combined with frictional unemployment and limited retraining infrastructure, this explains why adjustment was slow and painful in practice. Distributionally, the US economy is harmed not everywhere, but deeply in the places that can least absorb it.

On this distributional side, cheap imports clearly harm the US economy, because the depth and persistence of local losses outweigh what headline GDP and averages capture. Beyond economics, cheap Chinese imports also create a dangerous strategic dependence in critical sectors.

Traditional trade models often don't consider what Farrell and Newman call "weaponised interdependence", where supply chains themselves become instruments of coercion. This essay argues that it is along this under-theorised dimension that cheap Chinese imports are most dangerous (Farrell and Newman).

For instance, as seen in the chart below, Chinese imports to the US include a large share of critical inputs such as plastics, electronics, machinery, and rare earths, placing the United States' supply chain in a position of dependence on an economic and geopolitical opponent. Although this may prove to be cheap in the short term, given the favourable primary and secondary conditions in China and its highly competitive pricing, this configuration exposes the US to a significant vulnerability; in a crisis, Beijing could leverage its control over these intermediate goods to restrict or suspend exports, disrupting production across key American industries. In such a scenario, Washington would face not only immediate output losses and employment shocks, but also a broader degradation of economic performance, as an opponent would hold de facto veto power over the functioning of large parts of the US secondary sector.

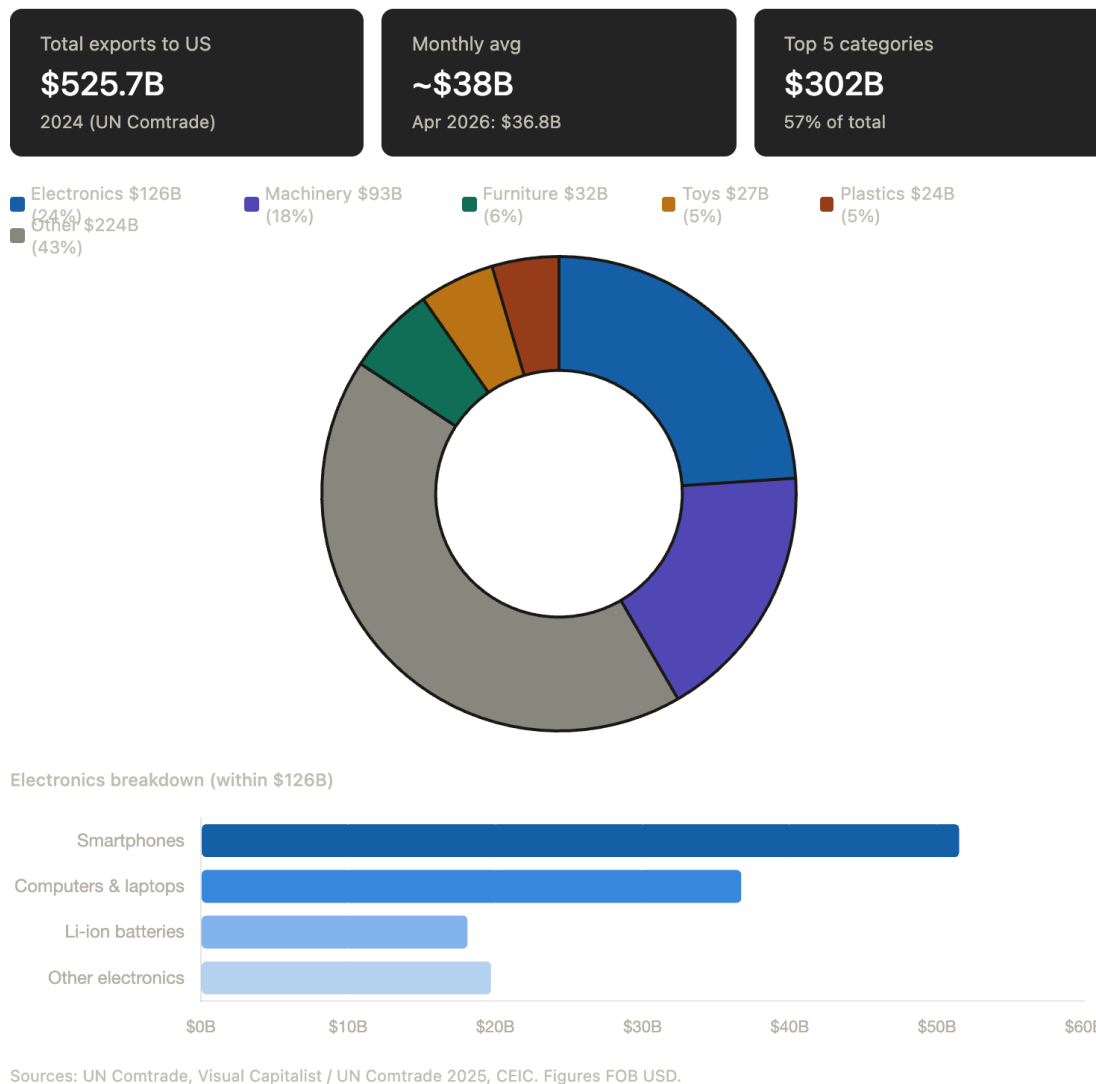


Fig 5. Three different visuals showcasing the range and value of Chinese imports to the USA, based on data collected from various sites.

Source: UN Comtrade, Visual Capitalist, CEIC. Data compiled and presented by Author (Arin Jain).

In 2022, the US Navy identified Chinese-origin components inside the guidance systems of domestically assembled munitions (Stone). This was not through espionage, but through routine procurement. The parts had entered the supply chain legally, not flagged by their origin. No single contractor had broken the rules, but the system had simply been trying to optimize for cost.

A major part of this would be the defense sector. Analysis by Govini using DoD supply-chain data finds that more than 40% of the semiconductors that sustain DoD weapons systems and infrastructure depend on Chinese suppliers. Beyond chips, China refines around 90% of the world's rare earth elements—the materials embedded in F-35 actuators, Virginia-class submarine magnets, and precision-guided munitions.

This is a negative externality problem: private firms optimising for cost systematically underprice supply-chain risk, because the cost of dependence only materialises in a crisis they don't expect to bear, meaning that in a serious deterioration of US-China relations, Beijing could degrade American military readiness by restricting exports of refined gallium or rare earth elements, slowing or even halting production of next-generation weapons systems. This is economic harm even if GDP is unchanged, as this nationwide fragility is a cost that does not appear in current prices until the moment supply is cut off.

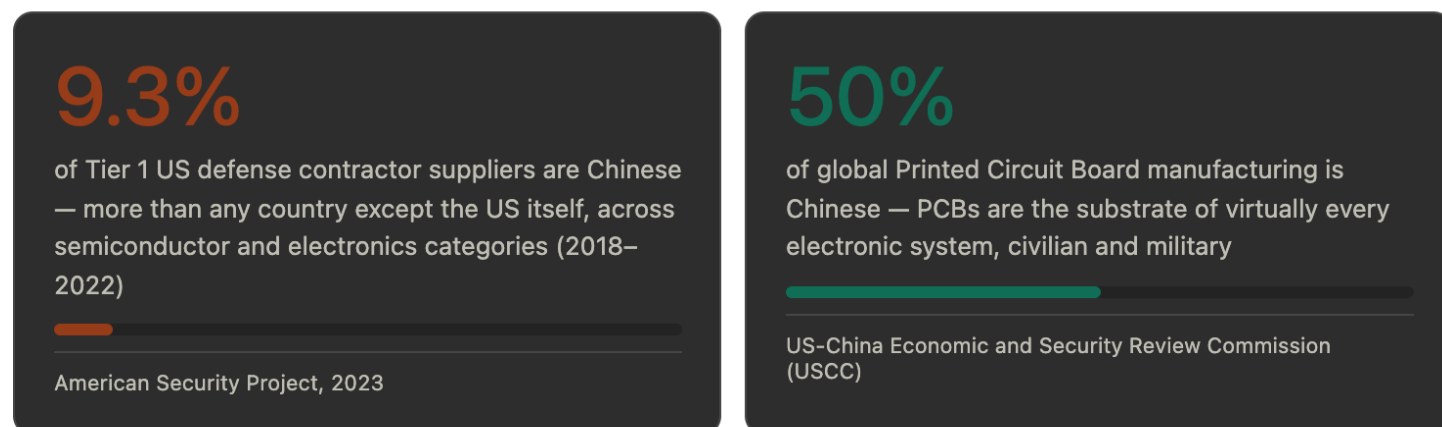


Fig 6. China's remaining supply chain leverage over US defense: Tier 1 contractor exposure and PCB manufacturing dominance.

Source: American Security Project (2023); US-China Economic and Security Review Commission (USCC).

Furthermore, this increased reliance could or has already resulted in expertise and previously-vast supplier networks vanishing, which can be hard to re-develop in the case of a loss of trade with China. A clear example is rare earths: after China undercut prices in the 1990s and 2000s, the Mountain Pass mine in California shut, its specialist chemists and engineers left, and most US refining capacity closed, so restarting production took years and billions of dollars in new investment. Restarting Mountain Pass after Chinese competition shuttered it cost MP Materials over \$1.5 billion and took nearly a decade, a cost invisible in any pre-crisis trade statistic.

The damage is hidden in normal times and acute in a crisis; Farrell and Newman call this weaponised interdependence, which is the condition in which economic integration gives states coercive leverage over rivals through their supply chains. On the strategic side then, cheap imports also harm the US economy, by giving Beijing veto power over key US military and industrial capabilities. Therefore, the US must also use policy such as targeted tariffs in defence manufacturing and re-shoring incentives to domestic firms to bring back production in key sectors. This is the basis for necessary targeted industrial policy; not protectionism broadly, but correcting a market failure where domestic actors underinvest in supply chain resilience.

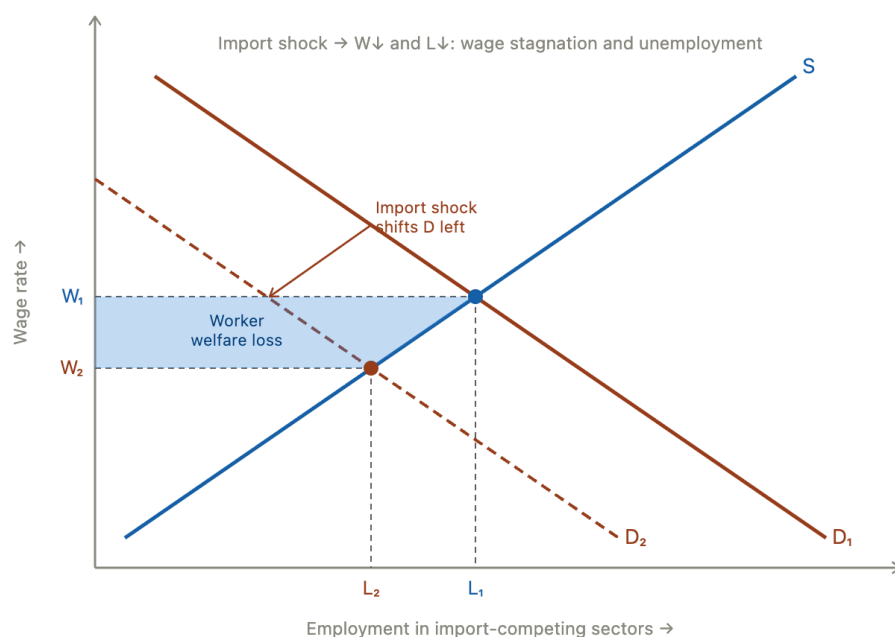


Fig 7. A simple demand and supply diagram that demonstrates how the import shock from cheap Chinese imports can cause workers welfare loss in the US.

Source: Author (Arin Jain)

Cheap Chinese imports raise US living standards and efficiency in aggregate, but they also impose deep, localised costs on groups such as manufacturing workers (as seen in Fig 7.) and Rust Belt towns and create dangerous dependence on a geopolitical rival for critical inputs and defence-related technologies. Overall harm is therefore distributional and strategic rather than macroeconomic, with gains showing up as real incomes and GDP, while the losses fall on specific regions and future resilience of key industries and sectors.

Trade policy should therefore treat cheap Chinese imports as a macroeconomic gain while still protecting exposed regions and de-risking critical supply chains, rather than as a simple choice between free trade and protectionism.

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